

Legal Ways to Pay Less Tax

The deductions most salaried people forget to claim, and exactly how to claim them.

Before we start

Everything in this ebook is a standard provision under the Income Tax Act — legitimate deductions and exemptions, not loopholes. Most apply only under the old tax regime; a few are regime-independent. Compare both regimes with your real numbers before assuming these are worth switching for (Paisa Stack's tax calculator does this in one screen).

1. Section 80C — the full list, not just PPF

Most people know 80C through PPF or ELSS, but the Rs. 1,50,000 limit can be filled with any combination of these:

Option	Notes
EPF contribution	Your own contribution (not your employer's) counts automatically.
PPF	15-year lock-in, tax-free returns.
ELSS mutual funds	Shortest lock-in in the 80C list — 3 years.
Life insurance premium	For self, spouse, or children — only the premium, not the sum assured.
Home loan principal repayment	The principal portion only — interest is claimed separately under Section 24.
Children's tuition fees	Only tuition, and only for up to 2 children.
Sukanya Samriddhi Yojana	For a girl child, with a competitive interest rate.
5-year tax-saving fixed deposit	Simple, but lower post-tax returns than ELSS for most people.

2. Deductions beyond 80C people skip

Section	What it covers	Typical limit
80D	Health insurance premiums — self, family, and parents	Rs. 25,000 self/family, additional Rs. 25,000-50,000 for parents depending on age
80CCD(1B)	Additional NPS contribution, over and above the 80C limit	Rs. 50,000
80E	Interest on an education loan for self, spouse, or children	No upper limit, for up to 8 years
80G	Donations to eligible charities and relief funds	50-100% of donation, subject to conditions
80TTA / 80TTB	Interest earned on a savings account (80TTA), or all deposits for senior citizens (80TTB)	Rs. 10,000 (80TTA) / Rs. 50,000 (80TTB)
Section 24	Interest paid on a home loan for a self-occupied property	Rs. 2,00,000

Most missed of these: 80CCD(1B) for NPS — it's a separate limit from 80C, so it's "free" extra deduction room even if your 80C bucket is already full.

3. HRA — often under-claimed

HRA exemption is the lowest of: actual HRA received, rent paid minus 10% of basic, or 50%/40% of basic (metro/non-metro). Many people either don't claim it at all if they didn't submit proof on time, or under-claim by not including a rent agreement with a parent (which is legitimate if the payment is genuine and traceable, and the parent declares it as income).

4. Capital gains — legitimate timing strategies

- **Use the annual LTCG exemption.** Equity LTCG has a Rs. 1,25,000 per-year exemption — if you're sitting on long-term gains, realising up to that amount annually (and reinvesting if you still want the exposure) uses up the exemption instead of wasting it.
- **Tax-loss harvesting.** If you're holding an investment at a loss, selling it to book the loss lets you offset it against gains elsewhere in the same year, or carry it forward for future years — entirely legal, and often overlooked near year-end.
- **Mind the holding period.** Equity held over 12 months qualifies for the lower LTCG rate instead of the higher STCG rate — selling a few weeks early can cost meaningfully more in tax for no real benefit.

5. Household-level planning

- **Split investments across family members** in lower tax brackets where genuinely appropriate — but be aware of clubbing provisions, which can attribute income back to the original giver in certain cases (e.g. gifts to a spouse). This needs care, not guesswork.
- **Use both spouses' 80C and 80D limits** if both are earning — each person has their own full limit, effectively doubling the household's deduction room.
- **Claim parents' health insurance separately** under 80D if you're paying the premium — this is a distinct limit from your own family's policy.

6. Mistakes that cost people real money

- **Rushing 80C investments in March.** Last-minute ELSS lump sums miss the benefit of spreading investment through the year — plan in April, not March.
- **Forgetting to submit proof to your employer** before the declaration deadline, forcing higher TDS through the year even though you're entitled to the deduction.
- **Not comparing regimes before assuming these deductions help.** Under the new regime, almost none of Sections 80C, 80D, or HRA apply — these strategies are old-regime specific.
- **Ignoring 80CCD(1B) because 80C is full.** It's a separate bucket — this is easy, free-feeling deduction room that gets skipped simply because people don't realise it's separate.

7. Quick answers to common questions

Can I claim both HRA and home loan interest deduction together?

Generally yes, if you rent in one city while owning a home elsewhere (or the owned home isn't your residence for a valid reason) — but this combination draws more scrutiny, so keep documentation clean.

Is tax-loss harvesting actually legal?

Yes — selling an investment at a loss to offset gains is a standard, legal practice. What's not allowed is artificially manufacturing a loss through non-genuine transactions.

Do these deductions apply under the new tax regime?

Almost none do — the new regime deliberately trades these deductions for lower slab rates. Always compare both regimes with your actual numbers rather than assuming.

8. Your annual tax-saving checklist

- ✓ List every 80C option you already have (EPF, home loan principal) before adding new ones.
- ✓ Check if your 80D covers parents separately, not just your immediate family.
- ✓ If using NPS, confirm you're claiming 80CCD(1B) as a separate Rs. 50,000, not folded into 80C.
- ✓ Submit investment proof to your employer before their internal deadline, not the ITR deadline.
- ✓ Review any capital losses before March 31st — harvest them if it makes sense for your portfolio.
- ✓ Run both tax regimes with your final numbers before filing.

This ebook is a planning aid, not tax advice. Deduction limits and eligibility conditions change with each Budget — confirm current rules with a chartered accountant or the Income Tax Department before filing.